permitted to annually remit an amount up to US$ 1 million out of the balances held in their accounts. Therefore, deposits in NRO accounts too are included in India's *external debt.*

Guidelines for Licensing of New Banks

The RBI on *February 22, 2013* released the Guidelines for *'Licensing of New Banks in the Private Sector'*. Key features of the guidelines are:

1. *Eligible Promoters:* A private sector/public sector/Non-Banking Financial Companies (NBFCs) entity/group eligible to set up a bank through a wholly-owned "Non-Operative Financial Holding Company (NOFHC)".
2. *'Fit and Proper' criteria:* A past record of sound credentials, integrity and sound financial background with a successful track record of 10 years will be required.
3. *Corporate structure of the NOFHC:* The NOFHC to be wholly owned by the Promoter/Promoter Group which shall hold the bank as well as all the other financial services entities of the group.
4. *Minimum voting equity capital requirements for banks and shareholding by NOFHC:* The initial minimum *paid-up voting equity capital*[54] for a bank shall be Rs. 5 billion. The NOFHC shall initially hold a minimum of 40 per cent of the paid-up voting equity capital of the bank which shall be locked in for a period of *five years* and which shall be brought down to 15 per cent within 12 years. Bank's shares to be listed on the stock exchanges within *three years* of the business commencement.
5. *Regulatory framework:* The bank to be regulated by the relevant Acts/Statutes/Directives, issued by RBI and other regulators. The NOFHC shall be *registered as* a non-banking finance company (NBFC) with the RBI and will be governed by a separate set of directions issued by RBI.
6. *Foreign shareholding in the bank:* Foreign shareholding upto 49% for the first 5 years after which it will be as per the extant policy.
7. *Corporate governance of NOFHC:* At least 50 per cent of the Directors of the NOFHC should be independent directors. The